Depreciation *

- results in book value approximating fair market value.
- is recorded weekly.
- allocates the cost of the asset over its useful life.
- is calculated by the department that uses the fixed asset.

Which transaction is not processed in the fixed asset system? *

- sale of company van
- purchase of raw materials
- purchase of building
- repair of equipment

Auditors of ERP systems *

- focus on output controls such as independent verification to reconcile batch totals.
- do not see the data warehouse as an audit or control issue at all because financial records are not stored there.
- need not be concerned about segregation of duties because these systems possess strong computer controls.
- need not review access levels granted to users because these are determined when the system is configured and never change.
- are concerned that managers fail to exercise adequate care in assigning permissions.

Closed database architecture is *

- a technique used to restrict access to data marts.
- a data warehouse control that prevents unclean data from entering the warehouse
- a limitation inherent in traditional information systems that prevents data sharing.
- a control technique intended to prevent unauthorized access from trading partners.
- a database structure that many of the leading ERPs use to support OLTP applications

Which control is not a part of the fixed asset system? *

- formal analysis of the purchase request
- review of the assumptions used in the capital budgeting model
- estimates of anticipated cost savings
- development of an economic order quantity model

The TELOS study that determines whether a project can be completed in an acceptable time frame is *

- a length of contract feasibility study.
- a schedule feasibility study.
- an economic completion feasibility study.
- an on-time feasibility study.
- a time frame feasibility study.

Which is NOT an accountant's primary role in information systems? *

- . system user
- system auditor
- system programmer

A systems development approach that starts with broad organizational goals and the types of decisions organizational executives make is called *

- top-down.
- bottom-up.
- sequential.
- strategic.
- network.

Which of the following is NOT a database management task? *

- summarization
- storage
- retrieval
- deletion

The objectives of the data collection activity of the general model for Accounting Information Systems are to collect data that are *

- efficient and objective.
- efficient and redundant.
- efficient and relevant.
- relevant and redundant.

Which of the following best describes the activities of the materials management function? *

- purchasing, receiving, and inventory control
- purchasing, receiving, and storage
- receiving, sales, distribution, and purchasing
- receiving, storage, purchasing, and accounts payable
- purchasing, storage, and distribution

Which statement is LEAST accurate? *

- Option 6
- Implementing an ERP system has more to do with changing the way an organization does business than it does with technology.
- To take full advantage of the ERP process, reengineering will need to occur.
- Because the primary reason for implementing an ERP is to standardize and integrate operations, diversified organizations whose units do not share common processes and data do not benefit and tend not to implement ERPs.
- A common reason for ERP failure is that the ERP does not support one or more important business processes of the organization.
- The phased-in approach to ERP implementation is particularly suited to diversified organizations whose units do not share common processes and data.

When viewed from the highest to most elemental level, the data hierarchy is *

- file, record, attribute.
- attribute, record, file.
- file, record, key.
- record, attribute, key.
- key, record, file.

The TELOS acronym is often used for determining the need for system changes. Which of the following types of feasibility studies are elements of TELOS? *

- practical, technical, and operational
- legal, environmental, and economic
- technical, operational, and economic
- technical, economic, legal, and practical
- environmental, operational, and economic

The following are subsystems of the Accounting Information System, EXCEPT *

- General Ledger/Financial Reporting System.
- Transaction Processing System.
- Management Reporting System.
- Human Resources System.

Which function should distribute paychecks? *

- timekeeping
- payroll
- personnel
- paymaster

The document that captures the total amount of time that individual workers spend on each production job is called a *

- job ticket.
- personnel action form.
- time card.
- labour distribution form

Which type of control is considered a compensating control? *

- access control
- accounting records
- segregation of duties
- supervision

Which statement is NOT true? *

- Denormalization of data involves dividing the data into very small tables that support detailed analysis.
- Some decisions supported by a data warehouse are not fundamentally different from those that are supported by traditional databases.
- The data warehouse should be separate from operational systems.
- Data cleansing involves transforming data into standard business terms with standard data values
- Drill-down capability is an OLAP feature of data mining tools available to the user.

Which of the following is typically NOT part of an ERP's OLAP applications? *

- B. information retrieval
- decision support systems
- C. ad hoc reporting/analysis
- E. what-if analysis
- D. logistics

The bill of lading is prepared by the *

- sales clerk.
- billing clerk.
- warehouse clerk.
- shipping clerk.

Which of the following is the most important factor in planning for a system change? *

- Having an auditor as a member of the design team.
- Using state-of-the-art techniques.
- Concentrating on software rather than hardware.
- Involving top management and people who use the system.

Which of the following is the most important factor in planning for a system change? *

- Having an auditor as a member of the design team.
- Using state-of-the-art techniques.
- Concentrating on software rather than hardware.
- Involving top management and people who use the system.
- Selecting a user to lead the design team.

A feasibility study for a new computer system should *

- include a report by the internal audit department that evaluated internal control features for each planned application.
- consider costs, savings, controls, profit improvement, and other benefits analysed by application area.
- provide the preliminary plan for converting existing manual systems and clerical operations.
- provide management with assurance from qualified, independent consultants that the use of a computer system appeared justified.

All of the following individuals would likely be SDLC participants EXCEPT *

- . management.
- accountants.
- programmers.
- shareholders.
- all of the above.

The department responsible for approving pay rate changes is *

- treasurer
- personnel
- payroll
- cash disbursements

Which of the following steps is NOT considered to be part of this systems survey? *

- Measures of processing volume are obtained for each operation.
- Equipment sold by various computer manufacturers is reviewed in terms of capability, cost, and availability.
- Interviews are conducted with operating people and managers.
- Work measurement studies are conducted to determine the time required to complete various tasks or jobs.
- The complete documentation of the system is obtained and reviewed.

Each of the following is a necessary element for the successful warehousing of data EXCEPT *

- cleansing extracted data.
- modelling data.
- all of the above are necessary.
- loading data.
- transforming data.

What name is given to the time value of money technique that discounts the after-tax cash flows for a project over its life to time period zero using the company's minimum desired rate of return? *

- payback method
- net present value method
- capital rationing method
- accounting rate of return method
- average rate of return method

Which document is NOT prepared by the sales department? *

- stock release
- shipping notice
- packing slip
- bill of lading

Which of the following is NOT a characteristic of the fixed asset system? *

- acquisition cost is allocated over the expected life of the asset
- acquisitions are routine transactions requiring general authorization
- retirements are reported on an authorized disposal report form
- transfer of fixed assets among departments is recorded in the fixed asset subsidiary ledger

Which of the following is NOT a purpose of the Transaction Processing System? *

- managing and reporting on the status of financial investments
- converting economic events into financial transactions
- recording financial transactions in the accounting records
- distributing essential information to operations personnel to support their daily operations

Which of the following represents the correct order in problem resolution? *

- Recognize the problem, define the problem, specify system objectives, perform feasibility studies, and prepare a project proposal.
- Define the problem, recognize the problem, perform feasibility studies, specify system objectives, and prepare a project proposal.
- Recognize the problem, define the problem, perform feasibility studies, specify system objectives, and prepare a project proposal.
- Define the problem, recognize the problem, specify system objectives, perform feasibility studies, and prepare a project proposal.

Which of the following best describes the activities of the accounting function? *

- fixed assets, accounts payable, cash disbursements, and cost accounting
- inventory control, accounts payable, fixed assets, and payroll
- purchasing, cash receipts, accounts payable, cash disbursements, and payroll
- inventory control, cash receipts, accounts payable, cash disbursements, and payroll
- inventory control, cost accounting, accounts payable, cash disbursements, and payroll

In the context of the TELOS acronym, technical feasibility refers to whether *

- an adequate computer site exists for the proposed system.
- the system will be used effectively within the operating environment of an organization.
- the systems manager can coordinate and control the activities of the systems department.
- the proposed system will produce economic benefits exceeding its costs.
- a proposed system is attainable, given the existing technology.

One-time costs of system development include all of the following EXCEPT *

- hardware acquisition.
- hardware maintenance.
- data conversion.
- programming.
- site preparation.

Which statement is NOT true? *

- The database and application functions are separated in the three-tier model.
- Client computers are responsible for presenting data to the user and passing user input back to the server.
- Two-tier architecture is for local area network applications where the demand on the server is restricted to a relatively small population of users.
- In a typical two-tier client-server architecture, the server handles both application and database duties.
- In three-tier client-server architectures, one tier is for user presentation, one is for database and applications access, and the third is for Internet access.

Depreciation records include all of the following information about fixed assets EXCEPT the *

- location of the asset.
- cost of the asset.
- economic benefit of purchasing the asset.
- depreciation method being used.

Which of the following is NOT a characteristic of effective information? *

- precision
- summarization
- accuracy
- relevance

An important reconciliation in the payroll system is when *

- the personnel department compares the number of employees authorized to receive a pay check to the number of paychecks prepared.
- the general ledger Department compares the labour distribution summary from cost accounting to the disbursement voucher from accounts payable.
- the payroll department compares the labour distribution summary to the hours reported on time cards.
- the production department compares the number of hours reported on job tickets to the number of hours reported on time cards.

Which document triggers the update of the inventory subsidiary ledger? *

- stock release
- .bill of lading
- sales order
- shipping notice

Which of the following is least likely to be an accountant's role in the SDLC? *

- programmer
- user
- all of these are likely roles
- auditor
- consultant

Which function or department below records the decrease in inventory due to a Sale? *

- sales department
- inventory control
- billing department
- warehouse

Which of the following best describes the activities of the production function? *

- maintenance, production planning, storage, and quality control
- production planning, quality control, manufacturing, and cost accounting
- maintenance, inventory control, and production planning
- quality control, production planning, manufacturing, and payroll
- manufacturing, quality control, and maintenance

Which internal control is not an important part of the payroll system? *

- the accounts payable department verifies the accuracy of the payroll register before transferring payroll funds to the general checking account
- paychecks are distributed by an independent paymaster
- supervisors verify the accuracy of employee time cards
- the general ledger department reconciles the labour distribution s ummary and the payroll disbursement voucher

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Objectives of the fixed asset system do NOT include *

- authorizing the acquisition of fixed assets.
- maintaining a record of the fair market value of all fixed assets.
- computing gain and/or loss on the disposal of fixed assets.
- recording depreciation expense.

Which of the following is NOT an objective of all information systems? *

- all of the above are objectives
- support for management decision making
- support for the stewardship function of management
- support for the day-to-day operations of the firm

Which statement best describes the issue of distributed data processing (DDP)? *

- Although hardware (such as computers, database storage, and input/output terminals) can be effectively distributed, the systems development and maintenance tasks must remain centralized for better control and efficiency.
- The centralized and DDP approaches are mutually exclusive; an organization must choose one approach or the other.
- In a minimum DDP arrangement, only data input and output are distributed, leaving the tasks of data control, data conversion, database management, and data processing to be centrally managed.
- The philosophy and objective of the organization's management will determine the extent of DDP in the firm.
- The greatest disadvantage of a totally distributed environment is that the distributed information processing unit locations are unable to communicate and coordinate their activities.

Which of the following is NOT a financial transaction? *

- cash receipts
- update valid vendor file
- sale of inventory
- . purchase of products

Which statement is most correct? *

- PeopleSoft is the world's leading supplier of software for information management.
- J.D. Edwards's ERP is designed to accept the best-practices modules of other vendors.
- Oracle evolved from a human resources system.
- SAP is more suited to service industries than manufacturing clients.
- SoftBrands provides enterprise software for the hospitality and manufacturing sectors.

Which of the following is a disadvantage of distributed data processing? *

- All of the above are disadvantages
- The potential for hardware and software incompatibility across the organization is increased.
- End-user involvement in systems operation is decreased.
- The time between project request and completion is increased.
- Disruptions due to mainframe failures are increased.